

15-1b Government-Created Monopolies

In many cases, monopolies arise when the government gives one person or firm the exclusive right to sell some good or service. Sometimes a would-be monopolist receives the right out of sheer political clout. Kings, for example, once granted exclusive business licenses to their friends and allies. At other times, the government grants a monopoly because doing so is viewed to be in the public interest.

The patent and copyright laws are two important examples. When a pharmaceutical company discovers a new drug, it can apply to the government for a patent. If the government deems the drug to be truly original, it approves the patent, which grants the company the exclusive right to manufacture and sell the drug for **20** years. Similarly, when a novelist finishes a book, she can copyright it. The copyright is a government guarantee that no one can print and sell the work without the author's permission. The copyright makes the novelist a monopolist in the sale of her novel.

The effects of patent and copyright laws are easy to see. Because these laws give one producer a monopoly, they lead to higher prices and higher profits than would occur under competition. But the laws also encourage some desirable behavior. By allowing drug companies to be monopolists in the drugs they discover, the patent laws encourage them to do pharmaceutical research. By allowing authors to be monopolists in the sale of their books, the copyright laws encourage them to write more and better books.

Thus, the laws governing patents and copyrights have both benefits and costs. The benefits are the increased incentives for creative activity. These benefits are offset, to some extent, by the costs of monopoly pricing, which we examine later in this chapter.